(iii) Operating cost ratio $= \frac{\text{Operating cost}}{\text{Revenue from operations}} \times 100 = \frac{18,400}{20,000} \times 100 = 92\%$

Operating cost = Cost of revenue from operations + Operating expenses
Operating expenses = Other expenses = ₹ 2,400
Operating cost = 16,000 + 2,400 = ₹ 18,400

(iv) Operating profit ratio $= \frac{\text{Operating profit}}{\text{Revenue from operations}} \times 100 = \frac{1,600}{20,000} \times 100 = 8\%$

Operating profit = Revenue from operations – Operating cost
= 20,000 – 18,400 = ₹ 1,600

(v) Return on Investment (ROI)

Return on investment shows the proportion of net profit before interest and tax to capital employed (shareholders' funds and long term debts). This ratio measures how efficiently the capital employed is used in the business. It is an overall measure of profitability of a business concern. It is computed as below:

$$\text{Return on Investment (ROI)} = \frac{\text{Net profit before interest and tax}}{\text{Capital employed}} \times 100$$

Capital employed = Shareholders' funds + Non current liabilities
Greater the return on investment better is the profitability of a business and vice versa.

Illustration 19

Following is the extract of the balance sheet of Babu Ltd., as on 31st March, 2018:

Particulars	Amount ₹
I EQUITY AND LIABILITIES	
1. Shareholders' funds	
(a) Share capital	70,000
(b) Reserves and surplus	25,000
2. Non-current liabilities	
Long-term borrowings	30,000
3. Current liabilities	
(a) Trade payables	20,000
(b) Other current liabilities	15,000
(c) Short-term provisions	42,000
Total	**2,02,000**

Net profit before interest and tax for the year was ₹ 25,000. Calculate the return on capital employed for the year.

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